

EQUIPMENT ASSESSOR'S REPORT

Copper State Plant Assessors · Our reference CSPA-2025-1174

INSTRUCTIONS

Instructed by:	Sonoran Ridge Risk Advisors, LLC
On behalf of:	Ironbark Constructors, Inc.
Policy number:	IM-2298-66401
Author:	Rosalind Vukovic-Adeyemi, Plant Engineer
Instructed by:	Desert Basin Specialty Insurance Company
Instructed on:	17 November 2025
Site attendance:	19 November 2025, Phoenix main yard
Scope:	Cause, extent and settlement basis

EQUIPMENT AFFECTED

Scheduled Item 001:	2023 Caterpillar 349, 49 t, long reach boom
Serial number:	CAT0349FKMBX2117
Hour meter:	3,118 hours at last reading, 11 November 2025
Scheduled limit:	USD 685,000, replacement cost basis
Scheduled Item 020:	Trimble GNSS components mounted on the machine

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Circumstances and findings

CIRCUMSTANCES

Circumstances:

The machine was recovered on the day of loss and has been stored tarped in a fenced and camera-monitored area at the insured's Phoenix main yard. It has not been repaired, dismantled, cleaned or disposed of, and the suspect hydraulic return line remains in situ in the burned compartment.

FINDINGS

Findings:

The fire originated at the rear of the pump compartment. A hydraulic return line has failed at the hose-to-fitting interface approximately 300 mm from the turbocharger shield. The remaining hose shows cover cracking and a burst pattern consistent with release under pressure rather than with external fire damage propagating inward. Exhaust surface temperature at that location on this model exceeds the fluid's auto-ignition temperature in normal operation. The machine is a constructive total loss: the cab, harness, hydraulic circuit and engine ancillaries are destroyed and the cost of rebuild exceeds a replacement. A 3,000-hour service including hydraulic hose inspection was completed by the dealer on 22 October 2025, three weeks before the loss.

Date of loss:	14 November 2025
Cause of loss:	Fire — hydraulic line failure onto the exhaust while in transit
Incident reference:	CGFD-2025-0114772
Injuries reported:	0

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Preliminary quantum and reserve advice

PRELIMINARY QUANTUM

Basis:

The figures below are preliminary and are given for reserving purposes only. They are subject to verification and may move as the investigation continues.

Excavator, scheduled limit, replacement	USD USD 685,000
Trimble GNSS machine control component	USD USD 14,200
Chains, binders and trailer rub rail:	USD 3,900
Recovery and heavy haul:	USD 8,750
Wreck removal and shoulder cleanup:	USD 4,100
Estimated loss:	715,950
Currency:	USD

ON BREAKDOWN AND ENSUING FIRE

Comment:

The policy excludes mechanical and hydraulic breakdown but expressly covers resulting damage from an ensuing fire. The line failure is the breakdown; the fire is the ensuing peril and is the whole of the loss. The dealer's inspection three weeks earlier is relevant to a recovery against that dealer, not to cover.

RECOMMENDATION

Recommendation:

Settle on the scheduled limit. The replacement quotation of USD 712,400 exceeds the schedule, so the schedule is the operative cap and no betterment arises.